

# Jar — Saving ₹10 a day, in gold, for Middle India

Founded 2021 · Bengaluru · \$63M raised · Profitable FY25 · IPO planned 2026

**35M+**

Registered users

**95%+**

First-time formal savers

**₹10**

Minimum daily save

**60%**

Users from Tier 2/3 towns

## 01 THE REAL INSIGHT

India has 900M bank accounts, 650M internet users, and 450M UPI users. But only 30M invest in markets and fewer than 300M are insured. The bottleneck is not infrastructure — it is the **psychological barrier to starting**. Jar's job is to remove the decision to save entirely.

Indians hold tens of thousands of tonnes of physical gold — it is how the country stores wealth, culturally. Jar did not invent a new behaviour. They **digitised an existing one**. By anchoring savings to gold, Jar bypassed the trust gap that kills most fintech products in Tier 2/3 India. You are not investing in an app. You are buying gold. That framing is the whole product.

## 02 THE CORE PRODUCT MECHANIC

**Round-up + UPI AutoPay** do the heavy lifting. When a user spends ₹98 on a recharge, ₹2 is automatically invested in gold. The team originally explained this as a *golak* — a piggy bank — because users did not understand 'round-up' until that framing. The name Jar itself comes from this. AutoPay then sets a daily recurring debit so small the user does not notice it leaving. Combined, they make saving the default, not a conscious decision the user has to make each morning.

**The loop:**

UPI spend → Round-up calc → Gold purchased → Balance grows → User feels rich

## 03 BUSINESS MODEL

**How Jar makes money:**

- ~2.4% commission per gold transaction (from SafeGold/partners)
- Jewellery marketplace Nek — higher-margin physical gold sales
- Third-party gold distribution via PhonePe, BharatPe
- Cross-sell: insurance, credit lines (in progress)

**The vertical integration bet:** Until FY24, Jar was a middleman. Then they built their own gold stack — purchase, storage (via Brinks), custody, resale. Operating revenue jumped **9x to ₹208 crore in FY25**. Total revenue hit ₹2,450 crore as they now book gross gold value. This is what turned them profitable. They are planning an IPO in 2026.

## 04 GROWTH MECHANICS

### Micro-community seeding

Early growth came from women seller groups on Facebook and WhatsApp — not paid ads. Jar used these groups to test UI copy in real time. They cut marketing spend by 57% from FY23 to FY24 while growing revenue 5.6x. Word-of-mouth worked because the product felt personal, not corporate.

### 9-language support

Jar supports 9 Indian languages. For a ₹10 savings product targeting Tier 2/3 users, this is not a feature — it is the entire distribution strategy. An app in your language is an app you trust with your money.

### Cohort personalisation

The growth team built cohorts based on phone type, location, language, and saving patterns to personalise nudges. The algorithm learns a user's cash flow rhythm and triggers at the right moment with the right amount. Classic product-led retention.

## 05 PRODUCT GAPS & RISKS

### Regulatory grey zone

Both RBI and SEBI have flagged digital gold repeatedly — no clear framework, custody norms, or pricing disclosure standards exist yet. Jar's entire core product sits in regulatory ambiguity. One circular could force a product pivot overnight. Their IPO and credit ambitions depend on clarity that is not guaranteed.

### Single asset dependency

95% of engagement is driven by gold savings. If gold prices stagnate or drop, user motivation drops with it. Jar currently has no second behavioural hook strong enough to replace the gold appreciation dopamine loop that drives daily opens.

### Retention at the bottom of the pyramid

Users saving ₹10/day need to see meaningful accumulation to stay motivated. At ₹300/month, the balance grows slowly. The visual progress mechanic has to work harder for users at the very bottom of the income pyramid — where churn risk is highest.

## 06 PRODUCT OPPORTUNITIES

### 01 Savings goals — named milestones

Let users save toward a named goal: Diwali jewellery, school fees, a phone. Converts an abstract gold balance into emotional progress. Proven to increase frequency and retention in SIP products globally.

### 02 Gold gifting — digital shagun

Send gold as a gift for birthdays, Diwali, weddings — ₹51, ₹101, ₹501 envelopes. Deeply cultural mechanic, zero new habit needed, with a built-in viral loop: the recipient downloads Jar to claim their gold.

### 03 Credit against accumulated gold

Let users borrow against their digital gold balance — a gold loan, but instant and in-app. A massive market in India, deeply understood by Tier 2 users who have done this at their local jeweller for generations.

### 04 Family savings vault

A shared gold pool for a household — husband, wife, parents all contributing. Mirrors how Indian families actually think about gold and wealth. Would unlock 2-3x bookings per account and tap the gifting behaviour around weddings.

### 05 WhatsApp-native saving

Trigger a ₹10 gold save directly from a WhatsApp message — no app open required. For Tier 3 users who live on WhatsApp more than any app, removing the open-app friction could double daily active save events.

### 06 Offline kirana integration

Save when you buy at a kirana store. Collect a physical gold coin when balance hits ₹5,000. Bridges the digital-physical gap for users who still trust their local dukaan more than any app on their phone.

## 07 PM SCORECARD

|                       |                        |     |
|-----------------------|------------------------|-----|
| Cultural insight      | <div><div></div></div> | 9.5 |
| Habit design          | <div><div></div></div> | 9.0 |
| Bharat distribution   | <div><div></div></div> | 8.5 |
| Revenue model         | <div><div></div></div> | 7.0 |
| Asset diversification | <div><div></div></div> | 5.0 |
| Regulatory safety     | <div><div></div></div> | 4.5 |

## 08 VERDICT

**Why this is genuinely special:** Jar is one of the few Indian startups that did not try to teach users a new behaviour. They found an existing one — saving in gold — and made it frictionless. The gulak metaphor, the ₹10 minimum, the 9 languages, the round-up mechanic: every decision is designed around how Middle India actually thinks about money. That is rare product thinking, and it is why 95% of their users have never formally saved before.

**The real risk:** Jar's biggest vulnerability is not competition — it is regulation. Digital gold has no clear legal framework in India. One RBI or SEBI ruling could force a restructure of the core product overnight. Their IPO, credit ambitions, and entire next chapter depend on regulatory clarity that is not guaranteed. That is a product risk you cannot design your way out of.

Written by Yash Mehta · B.Tech AI & Data Science, SAKEC · [linktr.ee/MehtaYash](https://linktr.ee/MehtaYash)